Priced Out: How the Shortage of Affordable Housing Drives Homelessness in the United States

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Abstract. This paper asks how the shortage of affordable housing contributes to homelessness in the United States. It synthesizes federal count data, policy research, and reporting. On a single night in 2024, 771,480 people were experiencing homelessness, an 18 percent increase over 2023 and the highest figure on record. Families with children rose 39 percent, while veteran homelessness fell 8 percent, a divergence indicating that targeted policy can move the number even as the total rises. Three drivers are examined. Economically, roughly 11 million households spend at least half their income on housing, and high construction costs, restrictive zoning, and limited public investment have constrained supply while wages have not kept pace. Structurally, Black Americans are substantially overrepresented among people experiencing homelessness relative to their share of the population, a disparity traceable to redlining and to zoning that concentrates affordable development away from wealthier areas. In policy, the Department of Justice has alleged that major landlords coordinated rent-setting through shared pricing algorithms. The National Low Income Housing Coalition estimates the shortage costs the economy about $2 trillion a year and that growth from 1964 to 2009 would have been 13.5 percent higher with better housing access; that estimate derives from an earlier working-paper version of its underlying study, and the published version frames the effect differently, so it should be read as indicative. The paper recommends zoning reform, sustained rather than episodic federal funding, and enforcement against coordinated rent-setting.

Keywords. homelessness; housing affordability; zoning reform; rent algorithms; housing policy

1. INTRODUCTION

On a single night in January 2024, 771,480 people in the United States were experiencing homelessness, roughly 23 of every 10,000 residents and the highest figure recorded since the count began. The total rose 18 percent over 2023.

Inside that total, the trend splits. Families with children rose 39 percent, reaching 259,473 people. Veterans fell 8 percent, a decline of 2,692 people. The divergence is the most informative feature of the data, because it demonstrates that the number responds to policy. Veteran homelessness fell during a period when nearly everything else rose, which means the overall increase reflects choices rather than an unalterable condition.

Research question: how does the lack of affordable housing contribute to the size and composition of the homeless population in the United States?

2. SCOPE AND SOURCES

Scope. This paper synthesizes federal count data, policy analysis, peer-reviewed research, and contemporaneous reporting. It collects no original data.

Sources. Count figures come from the Department of Housing and Urban Development's Annual Homeless Assessment Report, reported through the Associated Press. Policy and cost estimates come from the Pew Charitable Trusts, the National Low Income Housing Coalition, the Joint Center for Housing Studies at Harvard, and the Stanford Institute for Economic Policy Research. Where an advocacy organisation's estimate rests on a superseded academic source, the text says so at the point of use.

3. HOW HOMELESSNESS IS MEASURED AND WHY IT MATTERS

Any argument built on the count has to acknowledge what the count is. The figure of 771,480 comes from a point-in-time enumeration conducted on a single night in January, in which volunteers and outreach workers attempt to identify everyone sheltered and unsheltered in a given jurisdiction. It captures a snapshot, not a year.

Two consequences follow. The first is that the number is a floor. People living in vehicles, doubled up with family, or deliberately avoiding enumeration are undercounted, and the annual number of people who experience homelessness at some point is considerably larger than the single-night figure. The second is that comparisons across years are more reliable than the level itself, because the same method is applied each January. An 18 percent increase is therefore better evidence than the total it produced.

This matters for policy argument because the two halves of the statistic support different claims. The level understates the scale of the problem and should not be used to size a program. The change is measured consistently and can be used to judge whether something is working.

4. ECONOMIC DRIVERS

Affordability is the primary mechanism. Approximately 11 million households spend at least half their income on housing, which leaves no margin for a lost shift, a medical bill, or a rent increase (National Alliance to End Homelessness, 2023). Severe cost burden is not poverty in itself; it is the condition that converts an ordinary financial shock into housing loss.

Supply has been constrained from several directions at once. High construction costs, restrictive zoning, and limited public investment have together slowed the production of affordable units (Christopher & Tobias, 2024). Horowitz et al. (2023), writing for the Pew Charitable Trusts, find that housing costs have risen while wages have not kept pace, which places homeownership out of reach for families who would have reached it in an earlier decade. In high-cost states such as California, the gap between the two curves is widest and the homelessness rate is correspondingly high.

The National Low Income Housing Coalition estimates that the shortage of affordable housing costs the American economy about $2 trillion a year in lower wages and productivity, and that national growth between 1964 and 2009 would have been 13.5 percent higher with better access to affordable housing, equivalent to a $1.7 trillion increase in income or $8,775 per worker. These figures derive from an earlier working-paper version of the underlying economic study; the published version of that study frames the result differently, as a reduction in aggregate growth rather than a GDP level effect. The direction of the finding is not in dispute. The magnitude should be treated as indicative rather than precise.

Two features of the affordability problem are worth separating, because they call for different remedies. One is the price level, which supply policy can move over years. The other is the margin a household has against a shock, which is set by the gap between income and rent in any given month. A family paying 55 percent of income on rent is not homeless, but it has no absorbing capacity, and homelessness in such a household is triggered by an ordinary event rather than an extraordinary one: a reduced shift, a car repair, a delayed paycheck. Policy that lowers prices over a decade does nothing for a household whose margin disappears this month, which is the argument for emergency rental assistance operating alongside supply reform rather than instead of it.

5. STRUCTURAL INEQUALITY

Economic pressure does not fall evenly. Black Americans make up roughly 13 percent of the United States population and a substantially larger share of people experiencing homelessness (Casey, 2024). The overrepresentation is not explained by income alone.

The Stanford Institute for Economic Policy Research traces part of it to redlining, which restricted access to homeownership for minority households during the decades when home equity became the principal vehicle of American wealth accumulation. The policy ended; the asset gap it produced did not, because wealth transfers across generations and housing is the main thing transferred.

Zoning extends the pattern into the present. Rules that restrict multifamily and affordable development concentrate it away from wealthier areas, which limits where lower-income households can live and reinforces existing segregation without naming race. Frost (2024), writing for the Joint Center for Housing Studies, notes that LGBTQ individuals also face elevated risk, frequently through the loss of family support rather than through income.

The mechanism connecting the historical policy to the present outcome is worth stating explicitly, because redlining is often described as a moral failure rather than a financial one. Home equity is the principal asset most American families hold, and it is the principal asset they transfer to the next generation. A policy that excluded a group from homeownership during the decades when that asset was accumulating did not merely insult them; it removed them from the transfer. The resulting gap persists without any present-day discrimination, because the mechanism carrying it forward is inheritance rather than prejudice.

6. POLICY FAILURE AND MARKET CONDUCT

Public programs have not matched the scale of the problem. Schwartz (2019), in a study sponsored by the Department of Housing and Urban Development, examined New York City’s affordable housing plans and found the local initiative limited relative to need, despite investment measured in billions. Section 8 vouchers face a related constraint: the instrument works for the households that receive one, and funding does not extend to most of those who qualify.

Market conduct has added to the pressure. Bedayn (2025) reports that the Department of Justice accused six major landlords of coordinating rent-setting through shared pricing software, including RealPage. The allegation is that competitors used a common

algorithm to align prices rather than competing on them. If established, this means some portion of recent rent increases reflects coordination rather than scarcity, which is a different problem with a different remedy: enforcement rather than construction.

7. DISCUSSION

The three drivers are not parallel. Supply shortage sets the overall price level. Structural inequality determines who absorbs the consequence. Market conduct raises prices on top of the shortage without adding to it. A policy that addresses only one leaves the others running.

The veteran figure is the strongest evidence in this paper and deserves more weight than it usually receives. Veteran homelessness fell 8 percent in a year when the overall count rose 18 percent, under a targeted, funded, sustained program. That is a demonstration that the problem is tractable at scale, and it shifts the question from whether homelessness can be reduced to why the approach that worked for one population has not been extended to others.

One caution applies to the veteran comparison, and it should be stated before the recommendation rests on it. Veterans are a defined population with an existing federal administrative structure, eligibility that can be verified, and a dedicated benefits agency. Families with children have none of those things in the same form. The veteran result demonstrates that sustained, targeted, funded intervention works; it does not demonstrate that the same program can be lifted onto a population that is harder to identify and serve.

8. RECOMMENDATIONS

States and municipalities should reform zoning to permit higher-density and affordable development in areas that currently exclude it. This addresses the supply constraint and the segregation effect with a single instrument.

Federal funding for affordable housing should be sustained and formula-driven rather than episodic. The Schwartz finding is that scale is the limitation, and scale requires predictability more than it requires a single large appropriation.

Antitrust enforcement against coordinated rent-setting should continue, and pricing-algorithm transparency requirements should be considered, so that the question of whether competitors are aligning prices does not depend on litigation discovery.

Programs modelled on the veteran homelessness response should be extended to families with children, which is the fastest-growing group in the 2024 count.

9. LIMITATIONS

No original data. This paper synthesizes published figures and analysis and collects none of its own.

Point-in-time counting. HUD figures come from a single-night count, which undercounts people who are temporarily housed, in vehicles, or avoiding enumeration. The totals should be read as a floor.

Superseded economic estimate. The 13.5 percent growth figure and the associated $1.7 trillion estimate derive from a working-paper version of a study whose published version revised the framing. They are reported here as the advocacy source states them, with that caveat attached.

Unresolved allegation. The Department of Justice action concerning rent-setting algorithms is an allegation. Nothing in this paper assumes its outcome.

No causal claims. The association between housing cost and homelessness is well documented, but this paper does not establish causation or quantify how much of the 2024 increase any single driver explains.

10. CONCLUSION

Homelessness in the United States reached its highest recorded level in 2024, driven by a shortage of affordable housing, wages that have not tracked housing costs, structural barriers that concentrate the burden on specific populations, and market conduct that raised prices above what scarcity alone would produce. The decline in veteran homelessness during the same year shows the number is not fixed.

A stronger follow-up study would compare metropolitan areas that enacted zoning reform against matched areas that did not, tracking homelessness counts over five or more years. That comparison would establish how much of the problem supply policy can actually reach, which is the question this paper raises but cannot settle.

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CONTRIBUTIONS

Sai Monish Balaji, sole author, developed the research question, selected and reviewed the sources, organised the analysis around economic, structural, and policy drivers, and wrote the manuscript.